

Korea Nuclear EPC

2Q nuclear orders remain muted; reshuffle our nuclear order estimates

2Q order intake was solid but nuclear orders remained muted, with only a small KEPCO E&C maintenance contract (W33bn) from KHNP. Non-nuclear orders were strong: Doosan Enerbility's (Doosan) US steam turbine orders and Hyundai E&C's (HDEC) W10tn intake, including the Apgujeong 3rd District reconstruction (W5.6tn). We are reshuffling our order estimates, pushing back our overseas nuclear project assumptions by 1-2 years due to geopolitical tensions, trimming 2026-28E orderbook estimates and lowering price targets. 2Q earnings should be broadly in-line with consensus, with limited downside risk as problematic overseas projects near completion. We maintain a constructive sector view on all three names with Overweight ratings, with Doosan as our top pick.

- **2Q new orders: strong overall, but nuclear orders remain muted.** The only disclosed nuclear-related award was KEPCO E&C's emergency maintenance contract for an existing nuclear plant (W33bn) from KEPCO. Outside nuclear, Doosan booked W2.4tn of new orders, highlighted by another large US steam turbine and generator contract, reinforcing continued robust US CCPP (combined-cycle gas power plant) demand. HDEC also delivered strong order momentum in 2Q, booking W10tn of new orders led by the Apgujeong 3rd District reconstruction project (W5.6tn). Looking ahead, we expect Doosan to secure the ~W3tn construction portion of the Czech Dukovany nuclear project in the coming quarter.
- **Reshuffling our order estimates.** Political complications and extended execution timelines have delayed several overseas nuclear projects, and we have pushed back our order assumptions by 1-2 years. In particular, we have pushed back our assumed US timeline from 2028 to 2029. In our view, this is largely dependent on intergovernmental decision-making between Korea and the US, including how Korea's planned \$200bn investment over the next 10 years in US infrastructure is allocated and sequenced. As a result, we cut our 2026-28E orderbook estimates for Doosan, KEPCO E&C, and HDEC by 5-17%, 3-31%, and 12-21%, respectively, which also drives lower target prices. That said, **we believe the absence of a nuclear order win this year is largely priced in.** Investor feedback from our Asia marketing last week suggests expectations have shifted towards a bear-case scenario in which only Korea and Vietnam orders are awarded ([link](#) to our note).
- **2Q earnings likely a non-event; broadly in-line with BBG consensus.** We do not expect a meaningful beat or miss, although quarterly volatility may persist due to uneven project progress. HDEC disclosed an additional upward order revision of W337bn for domestic projects, which should partially offset expected site-related cost overruns. In addition, previously problematic overseas projects are either completed or nearing completion (e.g., HDEC's

Korea Auto, EV battery, Nuclear and Utility

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev End Date	
Doosan Enerbility	034020 KS	31,290	KRW	74,000	OW	n/c	130,000	Dec-27	160,000	n/c
KEPCO E&C	052690 KS	2,407	KRW	95,400	OW	n/c	180,000	Dec-27	260,000	n/c
Hyundai E&C	000720 KS	7,457	KRW	100,500	OW	n/c	170,000	Dec-27	180,000	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 08 Jul 26.

See page 23 for analyst certification and important disclosures, including non-US analyst disclosures.

Saudi Arabia projects), reducing the risk of further margin drag.

- **Stay Overweight on the three nuclear EPC names.** Despite softer sentiment on the near-term nuclear project outlook, we maintain a constructive view on the Korea nuclear EPC sector. Our top pick remains Doosan, supported by its expanding orderbook and balanced exposure across large-scale nuclear, SMRs, and gas turbines. **We prefer the nuclear EPC names over KEPCO (UW)**, given: 1) better visibility on overseas EPC catalysts; and 2) relatively lower policy risk vs. KEPCO.

Table 1: Korea nuclear EPC companies: major order intake in 2Q26

Wbn

Date announced	New/ Revision	Contract amount (Wbn)	Detail	Project owner	Contract period	
					Start	End
Doosan Enerbility		2,369				
5/6/2026	New	523	Busan Metropolitan City Myeongjang Park apartment construction	Jeongsang City Park	9/30/2026	12/30/2030
5/26/2026	New	480	Long Term Procurement Management contract for GT	Korea Southern Power	n/a	n/a
5/27/2026	New	n/a	W370MW steam turbine + generator supply contract	US company	n/a	~2029
6/1/2026	New	837	Jafurah Phase II cogeneration plant	KEPCO	6/1/2026	6/30/2029
6/15/2026	New	529	Duqm independent power project	Coastal Power SAOC	6/12/2026	4/1/2029
HDEC		9,791				
4/15/2026	Reivision	241	Daejang-Hongdae metropolitan railway private investment facility construction	Seobu Metropolitan Metro	n/a	n/a
4/29/2026	Reivision	96	Itaewon UN site complex development	Yongsan Eleven	2/11/2023	6/4/2027
5/26/2026	New	5,561	Apgujeong Apartment District Special Planning Zone 3 housing redevelopment	Apgujeong Apartment District Special Planning Zone 3 Redevelopment Association	n/a	n/a
6/5/2026	New	3,039	Wirye Bokjeong station area complex development	Songpa Biz Cluster PFV	6/15/2026	1/14/2031
6/22/2026	New	853	Beomcheon 4 District housing redevelopment	Beomcheon 4 District Redevelopment Association	n/a	n/a
KEPCO E&C		33				
4/16/2026	New	33	Operating nuclear plants emergency maintenance	KHNP	4/14/2026	4/13/2027

Source: Company data

Table 2: Nearest nuclear projects relevant to Korea EPC companies

Number of reactor units

	Prime contractor	2026E	2027E	2028E	2029E
Large-scale projects					
Bulgaria	Westinghouse		2		
Poland	Westinghouse		3		
Vietnam	KEPCO		2		
Korea	KEPCO			2	
US	Westinghouse				2
US	KEPCO				2
Reactor units by prime contractor					
KEPCO			2	2	2
Westinghouse			5		2

Source: Company data, J.P. Morgan estimates.

Table 3: Estimated orders from the nearest large-scale nuclear projects

\$bn

Prime contractor		2026E	2027E	2028E	2029E
Projected contract value					
Bulgaria	Westinghouse		>20		
Poland	Westinghouse		>30		
Vietnam	KEPCO		10		
Korea	KEPCO			10	
US	Westinghouse				>20
US	KEPCO				20
Project by prime contractor					
KEPCO			10	10	20
Westinghouse			>50		>20
Est. order size for Korean EPC companies					
Doosan	~\$2bn for KEPCO reactor; ~\$200mn per Westinghouse reactor		5.0	4.0	4.4
KEPCO E&C	~\$0.5bn per KEPCO reactor		1.0	1.0	1.0
HDEC	~\$1.2bn per KEPCO reactor in Korea (double for overseas) x 50% chance; ~\$4bn per Westinghouse reactor (Bulgaria, US)		10.4	1.2	10.4

Source: IAEA, company data, J.P. Morgan estimates

Table 4: Estimated orders from the nearest SMR projects

\$bn

SMR projects		2026E	2027E	2028E	2029E
Doosan	NuScale, TerraPower, etc.	0.7	0.7	1.4	2.1
HDEC	Holtec International	2.0	2.0		

Source: Company data, J.P. Morgan estimates

Table 5: JPMe vs consensus

Wbn

Doosan Enerbility									
	2026E			2027E			2028E		
	JPMe	Consensus	Diff	JPMe	Consensus	Diff	JPMe	Consensus	Diff
Revenue	17,060	18,037	-5%	19,240	20,096	-4%	22,484	22,458	0%
OP	1,119	1,145	-2%	1,542	1,568	-2%	2,065	2,042	1%
Hyundai E&C									
	2026E			2027E			2028E		
	JPMe	Consensus	Diff	JPMe	Consensus	Diff	JPMe	Consensus	Diff
Revenue	27,492	27,168	1%	28,484	29,218	-3%	31,029	31,444	-1%
OP	817	826	-1%	1,137	1,184	-4%	1,426	1,487	-4%

No consensus est. for KEPCO E&C

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Overweight

034020.KS, 034020 KS

Price (08 Jul 26):W74,000

▼ **Price Target (Dec-27):W130,000**

Prior (Dec-27):W160,000

Korea Auto, EV battery, Nuclear and Utility

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (W)	578	512	-11.5%
Adj. EPS - 27E (W)	1,193	1,046	-12.3%

Quarterly Forecasts (FYE Dec)

Adj. EPS (W)	2025A	2026E	2027E
Q1	(107)	1A	173
Q2	204	153	248
Q3	(78)	175	258
Q4	114	183	367
FY	132	512	1,046

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	90	88	74	70	4
Growth	7	62	42	9	58
Momentum	21	6	25	54	11
Quality	85	81	74	15	100
Low Vol	82	81	66	82	100
ESGQ	19	14	29	97	-

Doosan Enerbility

Gas turbines to fill orderbook while nuclear remains silent

Doosan Enerbility continues to benefit from robust gas/steam turbine demand and CCPP (combined-cycle gas power plant) EPC, with orders flowing in steadily and robust demand continuing for the next several years. Nuclear orders remained muted in 1H: the Czech Dukovany construction portion (~W3tn) leads the order momentum, but we have pushed Bulgaria's Kozloduy project into 2027 following a change in government that has slowed progress, and conservatively deferred Korea's domestic nuclear project order to next year, as site selection was only confirmed in June 2026. Accordingly, we trim our 2026-28E orderbook est. by 5-17% and cut our PT to W130,000, while earnings estimates remain largely unchanged.

Table 6: Doosan: 2Q26 preview

Wbn, %

	2Q26			2Q25	% y/y	1Q26	% q/q
	JPM	BBG	Diff.				
Revenue	4,487	4,657	-4%	4,569	-2%	4,261	5%
OP	283	268	5%	271	4%	234	21%
OP margin	6.3%	5.8%		5.9%		5.5%	
NP	163	68	142%	198	-17%	60	171%
NP margin	3.6%	1.5%		4.3%		1.4%	

Source: Company data, Bloomberg Finance L.P.

Table 7: Doosan: Price target

Wbn, W, x

		Value	Note
Doosan Enerbility (a)		82,293	
2028E Orderbook		43,312	Enerbility-only orderbook
Target Price/Orderbook		1.9x	Upcycle multiple
Investment value (b)		4,445	
Doosan Bobcat		2,839	48.2% stake x Market cap
Doosan Fuelcell		847	30.3% stake x Market cap
Doosan Skoda Power		759	67.0% stake x Market cap
Discount to investment value	(c)	50%	
Target market cap	(a)+(b)x(1-c)	84,516	
Price target		130,000	

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Price Performance



Company Data

Shares O/S (mn)	641
52-week range (W)	139,200-51,100
Market cap (\$ mn)	31,290
Exchange rate	1,514.90
Free float (%)	61.5%
3M ADV (mn)	7.89
3M ADV (\$ mn)	563.9
Volatility (90 Day)	81
Index	KOSPI
BBG ANR (Buy Hold Sell)	24 0 0

Key Metrics (FYE Dec)

W in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	17,058	17,060	19,240	22,484
Adj. EBITDA	1,320	1,700	2,233	2,754
Adj. EBIT	763	1,119	1,542	2,065
Adj. net income	85	328	670	990
Adj. EPS	132	512	1,046	1,546
BBG EPS	165	510	911	1,299
Cashflow from operations	752	740	1,552	1,879
FCFF	349	40	852	1,129
Margins and Growth				
Revenue Growth Y/Y (%)	5.1%	0.0%	12.8%	16.9%
EBITDA margin	7.7%	10.0%	11.6%	12.3%
EBITDA Growth Y/Y (%)	(12.5%)	28.8%	31.3%	23.3%
EBIT margin	4.5%	6.6%	8.0%	9.2%
Net margin	0.5%	1.9%	3.5%	4.4%
Adj. EPS growth	(23.9%)	286.7%	104.5%	47.8%
Ratios				
Adj. tax rate	37.2%	30.6%	27.5%	27.5%
Interest cover	5.5	7.7	11.1	14.4
Net debt/Equity	0.2	0.2	0.1	0.1
Net debt/EBITDA	2.0	1.5	0.8	0.5
ROCE	3.6%	5.7%	7.9%	9.8%
ROE	1.1%	4.1%	7.9%	10.7%
Valuation				
FCFF yield	0.7%	0.1%	1.8%	2.4%
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/Revenue	3.0	3.6	3.0	2.5
EV/EBITDA	38.4	36.0	25.5	20.3
Adj. P/E	559.2	144.6	70.7	47.9

Summary Investment Thesis and Valuation

Investment Thesis

We reshuffle our top-down forecasts for major large-scale nuclear EPC projects led by KEPCO and Westinghouse. Doosan continues to benefit from robust US gas/steam turbine demand, with orders flowing steadily and demand expected to outpace supply for the next several years. However, nuclear orders remained muted in 1H, with Bulgaria's Kozloduy project pushed into 2027 following a change in government and Korea's domestic nuclear project order conservatively deferred to next year, as site selection was only confirmed in June. Doosan remains our top pick within the Korean nuclear EPC sector, supported by its rapidly expanding orderbook and balanced exposure across large-scale nuclear, SMRs, and gas turbines. Maintain OW.

Valuation

Our Dec-27 PT of W130,000 is based on our sum-of-the-parts valuation, in which we value the core business using an up-cycle multiple of 1.9x 2028E price/orderbook.

Performance Drivers

Market	24%
Region	5%
Macro	4%
Style	1%
Idiosyn.	66%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.60	0.49
Region: Korea	0.06	0.26
Macro:		
JPM China A-shares Sentiment	0.08	0.15
Emerging Central Bank Rate	0.07	0.11
JPM Forecast Revision EM	-0.06	-0.10
Quant Styles:		
Growth	0.03	-0.14
Quality	-0.26	-0.11
LowVol	-0.06	0.11

Table 8: Doosan: Summary of key financials

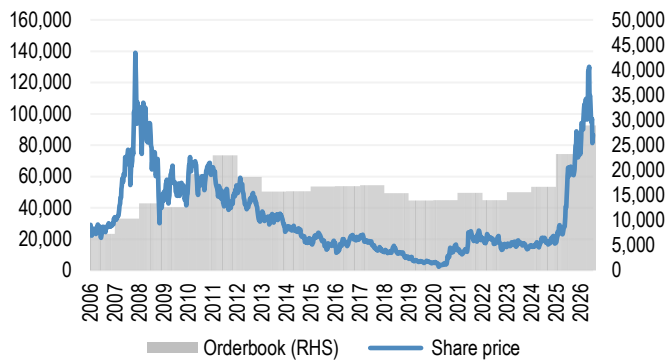
Doosan: Summary of key financials

	2023	2024	2025	2026E	2027E	2028E	2029E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Orderbook: core-business	16,050	16,004	23,244	28,946	37,809	43,312	47,541								
New order intake: core-business	8,886	7,133	14,728	13,200	18,200	17,700	18,200								
Financials															
Sales revenue	17,590	16,233	17,058	17,060	19,240	22,484	24,660	3,749	4,569	3,880	4,860	4,261	4,487	4,072	4,240
%y/y	14%	-8%	5%	0%	13%	17%	10%	-9%	10%	14%	6%	14%	-2%	5%	-13%
Doosan Enerbility	7,652	7,367	7,882	7,498	9,337	12,196	13,972	1,576	2,268	1,678	2,360	1,896	2,099	1,800	1,703
Doosan Fuelcell	261	412	455	518	544	554	566	100	128	91	136	145	135	95	143
Doosan Bobcat	9,701	8,502	8,829	9,293	9,665	10,052	10,454	2,054	2,237	2,161	2,377	2,247	2,327	2,247	2,472
OP	1,467	1,018	763	1,119	1,542	2,065	2,253	142	271	137	212	234	283	295	308
Doosan Enerbility	225	244	302	407	741	1,107	1,269	-1	92	43	168	57	105	126	119
Doosan Fuelcell	2	-2	-105	-1	5	6	6	-12	-2	-16	-76	-1	0	0	0
Doosan Bobcat	1,381	865	690	841	967	1,182	1,229	196	208	138	148	207	209	202	223
OP margin	8%	6%	4%	7%	8%	9%	9%	4%	6%	4%	4%	5%	6%	7%	7%
Doosan Enerbility	3%	3%	4%	5%	8%	9%	9%	0%	4%	3%	7%	3%	5%	7%	7%
Doosan Fuelcell	1%	0%	-23%	0%	1%	1%	1%	-12%	-1%	-17%	-56%	-1%	0%	0%	0%
Doosan Bobcat	14%	10%	8%	9%	10%	12%	12%	10%	9%	6%	6%	9%	9%	9%	9%
NP	518	395	205	585	972	1,359	1,510	-21	198	-24	53	60	163	175	186
NP margin	3%	2%	1%	3%	5%	6%	6%	-1%	4%	-1%	1%	1%	4%	4%	4%
NP to parent	56	111	85	328	670	990	1,127	-69	131	-50	73	1	98	112	117

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 1: Doosan: Share price vs orderbook

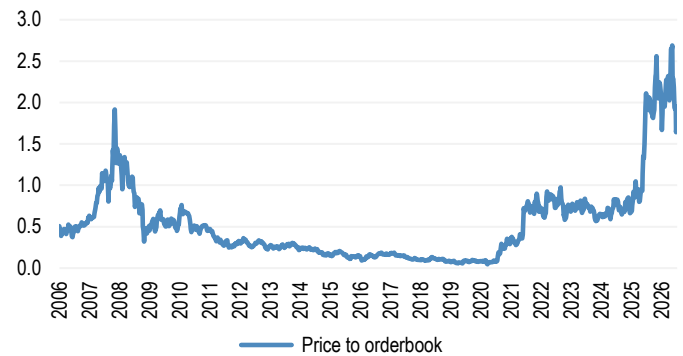
Won, Wbn (RHS)



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 2: Doosan: Price/orderbook trend

x



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Doosan Enerbility (Overweight; Price Target: W130,000)

Investment Thesis

We reshuffle our top-down forecasts for major large-scale nuclear EPC projects led by KEPCO and Westinghouse. Doosan continues to benefit from robust US gas/steam turbine demand, with orders flowing steadily and demand expected to outpace supply for the next several years. However, nuclear orders remained muted in 1H, with Bulgaria's Kozloduy project pushed into 2027 following a change in government and Korea's domestic nuclear project order conservatively deferred to next year, as site selection was only confirmed in June. Doosan remains our top pick within the Korean nuclear EPC sector, supported by its rapidly expanding orderbook and balanced exposure across large-scale nuclear, SMRs, and gas turbines. Maintain OW.

Valuation

Our Dec-27 PT of W130,000 is based on our sum-of-the-parts valuation, in which we value the core business using an up-cycle multiple of 1.9x 2028E price/orderbook.

Doosan: Price target derivation

Wbn, Won, x

		Value	Note
Doosan Enerbility	(a)	82,293	
2028E Orderbook		43,312	Enerbility-only orderbook
Target Price/Orderbook		1.9x	Upcycle multiple
Investment value	(b)	4,445	
Doosan Bobcat		2,839	48.2% stake x Market cap
Doosan Fuelcell		847	30.3% stake x Market cap
Doosan Skoda Power		759	67.0% stake x Market cap
Discount to investment value	(c)	50%	
Target market cap	(a)+(b)x(1-c)	84,516	
Price target		130,000	

Source: Bloomberg Finance L.P., J.P. Morgan estimates

Risks to Rating and Price Target

Key downside to our rating and price target risks include: 1) potential delays in anticipated large-scale nuclear projects; and 2) negative developments in several SMR customers' progress (e.g., approvals or technical issues).

Doosan Enerbility: Summary of Financials

Income Statement	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Revenue	17,058	17,060	19,240	22,484	Cash flow from operating activities	752	740	1,552	1,879
COGS	(14,315)	(14,150)	(15,774)	(18,171)	o/w Depreciation & amortization	557	581	691	689
Gross profit	2,743	2,910	3,466	4,314	o/w Changes in working capital	464	(426)	(111)	(170)
SG&A	(1,722)	(1,468)	(1,539)	(1,799)					
Adj. EBITDA	1,320	1,700	2,233	2,754	Cash flow from investing activities	(311)	(700)	(700)	(750)
D&A	(557)	(581)	(691)	(689)	o/w Capital expenditure	(403)	(500)	(500)	(550)
Adj. EBIT	763	1,119	1,542	2,065	as % of sales	2.4%	2.9%	2.6%	2.4%
Net Interest	(239)	(221)	(202)	(191)					
Adj. PBT	327	843	1,340	1,875	Cash flow from financing activities	(259)	0	0	0
Tax	(122)	(258)	(369)	(516)	o/w Dividends paid	(108)	0	0	0
Minority Interest	(120)	(257)	(302)	(369)	o/w Shares issued/(repurchased)	(269)	0	0	0
Adj. Net Income	85	328	670	990	o/w Net debt issued/(repaid)	(132)	0	0	0
Reported EPS	132	512	1,046	1,546	Net change in cash	183	40	852	1,129
Adj. EPS	132	512	1,046	1,546					
					Adj. Free cash flow to firm	349	40	852	1,129
DPS	0	0	0	0	y/y Growth	(259.0%)	(88.5%)	2018.0%	32.5%
Payout ratio	0.0%	0.0%	0.0%	0.0%					
Shares outstanding	641	641	641	641					
Balance Sheet	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	3,081	3,121	3,973	5,102	Gross margin	16.1%	17.1%	18.0%	19.2%
Accounts receivable	4,046	3,412	3,848	4,497	EBITDA margin	7.7%	10.0%	11.6%	12.3%
Inventories	2,544	2,830	3,155	3,634	EBIT margin	4.5%	6.6%	8.0%	9.2%
Other current assets	7,474	7,126	7,887	9,015	Net profit margin	0.5%	1.9%	3.5%	4.4%
Current assets	10,772	10,464	12,077	14,334					
PP&E	5,777	5,875	5,859	5,895	ROE	1.1%	4.1%	7.9%	10.7%
LT investments	1,210	1,210	1,210	1,210	ROA	0.3%	1.2%	2.4%	3.3%
Other non current assets	2,241	2,241	2,241	2,241	ROCE	3.6%	5.7%	7.9%	9.8%
Total assets	27,513	27,325	28,946	31,264	SG&A/Sales	10.1%	8.6%	8.0%	8.0%
					Net debt/Equity	0.2	0.2	0.1	0.1
Short term borrowings	2,913	2,913	2,913	2,913	Net debt/EBITDA	2.0	1.5	0.8	0.5
Payables	6,434	5,660	6,310	7,268					
Other short term liabilities	760	760	760	760	Sales/Assets (x)	0.6	0.6	0.7	0.7
Current liabilities	10,107	9,333	9,983	10,942	Assets/Equity (x)	3.5	3.4	3.3	3.2
Long-term debt	2,835	2,835	2,835	2,835	Interest cover (x)	5.5	7.7	11.1	14.4
Other long term liabilities	5,397	5,397	5,397	5,397	Operating leverage	(493.0%)	416919.6%	295.4%	201.3%
Total liabilities	15,504	14,730	15,380	16,338	Tax rate	37.2%	30.6%	27.5%	27.5%
Shareholders' equity	7,786	8,114	8,784	9,774	Revenue y/y Growth	5.1%	0.0%	12.8%	16.9%
Minority interests	4,224	4,481	4,782	5,151	EBITDA y/y Growth	(12.5%)	28.8%	31.3%	23.3%
Total liabilities & equity	27,513	27,325	28,946	31,264	EPS y/y Growth	(23.9%)	286.7%	104.5%	47.8%
BVPS	12,156	12,668	13,715	15,261	Valuation	FY25A	FY26E	FY27E	FY28E
y/y Growth	3.9%	4.2%	8.3%	11.3%	P/E (x)	559.2	144.6	70.7	47.9
					P/BV (x)	6.1	5.8	5.4	4.8
Net debt/(cash)	2,668	2,627	1,776	1,294	EV/EBITDA (x)	38.4	36.0	25.5	20.3
					Dividend Yield	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.

Note: W in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Asia Pacific Equity Research
09 July 2026

J.P.Morgan

Overweight

052690.KS, 052690 KS

Price (08 Jul 26):W95,400

▼ **Price Target (Dec-27):W180,000**

Prior (Dec-27):W260,000

Korea Auto, EV battery, Nuclear and Utility

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (W)	2,143	1,946	-9.2%

Quarterly Forecasts (FYE Dec)

Adj. EPS (W)	2025A	2026E	2027E
Q1	0	369A	214
Q2	0	245	347
Q3	0	269	381
Q4	0	832	1,004
FY	2,234	1,714	1,946

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	93	91	88	92	93
Growth	71	50	57	56	90
Momentum	13	45	17	88	13
Quality	56	69	63	84	63
Low Vol	87	77	46	100	24

KEPCO E&C

Quiet 2Q orders; awaiting Korea-led nuclear project catalysts

KEPCO E&C did not receive meaningful order intake in 2Q, securing a relatively small operating nuclear plant emergency maintenance contract (W33bn) from KEPCO, as large-ticket awards remain dependent on KHNP/KEPCO's project wins. We expect the pipeline to re-accelerate in 2027, driven by Vietnam, where the Korean government has been actively signing MOUs and additional nuclear projects are expected to follow Ninh Thuan 2. That said, pushing back Korea's domestic nuclear project order lowers our 2026-28E orderbook estimate by 3-31%, and we cut our Dec-27 PT accordingly to W180,000. Earnings estimates are largely unchanged, and we expect 2Q results to be a non-event.

Table 9: KEPCO E&C: Price target

Wbn, W

	Value	Note
2028E orderbook	3,629	
Target Price/Orderbook	1.9x	Upcycle multiple
Target market cap	6,895	
Price target	180,000	

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Price Performance



Company Data

Shares O/S (mn)	38
52-week range (W)	198,000-80,300
Market cap (\$ mn)	2,407
Exchange rate	1,514.90
Free float (%)	37.4%
3M ADV (mn)	0.38
3M ADV (\$ mn)	38.8
Volatility (90 Day)	89
Index	-
BBG ANR (Buy Hold Sell)	12 1 0

Key Metrics (FYE Dec)

W in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	519	636	680	751
Adj. EBITDA	58	98	110	131
Adj. EBIT	35	79	93	115
Adj. net income	85	66	74	92
Adj. EPS	2,234	1,714	1,946	2,402
BBG EPS	1,776	1,714	2,127	2,568
Cashflow from operations	29	106	79	92
FCFF	25	98	71	84
Margins and Growth				
Revenue Growth Y/Y (%)	(8.9%)	22.5%	7.0%	10.5%
EBITDA margin	11.3%	15.5%	16.2%	17.5%
EBITDA Growth Y/Y (%)	(37.3%)	68.1%	11.9%	19.3%
EBIT margin	6.8%	12.4%	13.7%	15.3%
Net margin	16.5%	10.3%	10.9%	12.2%
Adj. EPS growth	45.9%	(23.2%)	13.5%	23.4%
Ratios				
Adj. tax rate	22.0%	23.3%	24.0%	24.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	4.6%	9.6%	10.8%	12.8%
ROE	14.2%	10.4%	11.4%	13.4%
Valuation				
FCFF yield	0.7%	2.7%	2.0%	2.3%
Dividend yield	1.4%	1.3%	1.7%	1.7%
EV/Revenue	6.8	5.5	5.1	4.4
EV/EBITDA	60.6	35.6	31.6	25.4
Adj. P/E	42.7	55.6	49.0	39.7

Summary Investment Thesis and Valuation

Investment Thesis

KEPCO E&C is a key player in the Korea-led nuclear projects, with large-ticket awards dependent on overseas project wins. Order intake was quiet in 2Q, limited to a small operating nuclear plant emergency maintenance contract (W33bn) from KHNP. We expect the pipeline to re-accelerate in 2027, driven by Vietnam, where the Korean government has been actively signing MOUs and additional nuclear projects are expected to follow Ninh Thuan 2. We reiterate our Overweight rating.

Valuation

Our Dec-27 PT of 180,000 is based on a 1.9x 2028E price/orderbook multiple, as we continue to view the orderbook as a key indicator of the sector cycle.

Performance Drivers



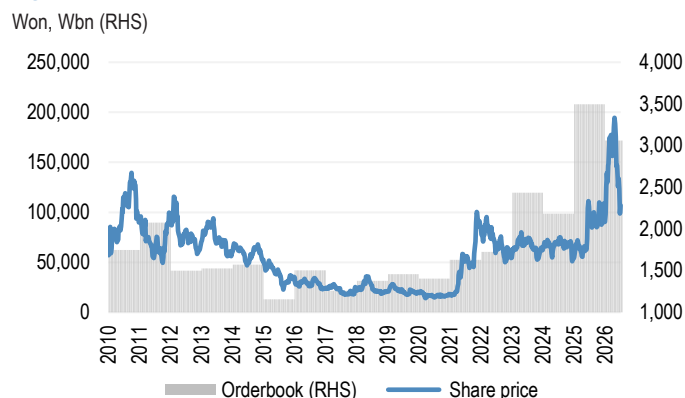
Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.33	0.28
Region: Korea	0.04	0.15
Macro:		
JPM Global Equity Sentiment	0.14	-0.17
Markit EM Composite PMI SA	-0.15	-0.14
JPM EM Currency(EMCI) Fixing	0.19	0.13
Quant Styles:		
Growth	-0.11	-0.15
LowVol	-0.03	0.08
DivYld	-0.06	0.07

Table 10: KEPCO E&C: Summary of key financials

Wbn															
	2023	2024	2025	2026E	2027E	2028E	2029E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Orderbook	2,436	2,185	3,496	3,060	3,380	3,629	4,323								
New order intake	1,256	319	1,830	200	1,000	1,000	1,500								
Financials															
Sales revenue	545	569	519	636	680	751	806	100	102	115	206	113	127	140	255
%y/y	8%	4%	-9%	23%	7%	10%	7%	-22%	-20%	8%	-2%	13%	24%	22%	24%
Nuclear	281	340						56	58	81					
Other energy	264	230						44	44	34					
OP	29	71	35	79	93	115	123	5	-4	12	26	14	11	13	41
OP margin	5%	12%	7%	12%	14%	15%	15%	5%	-4%	11%	13%	12%	9%	9%	16%
NP	33	59	85	66	74	92	99	66	0	11	8	14	9	10	32
NP margin	6%	10%	16%	10%	11%	12%	12%	66%	0%	10%	4%	12%	7%	7%	12%
NP to parent	33	59	85	66	74	92	99	66	0	11	8	14	9	10	32

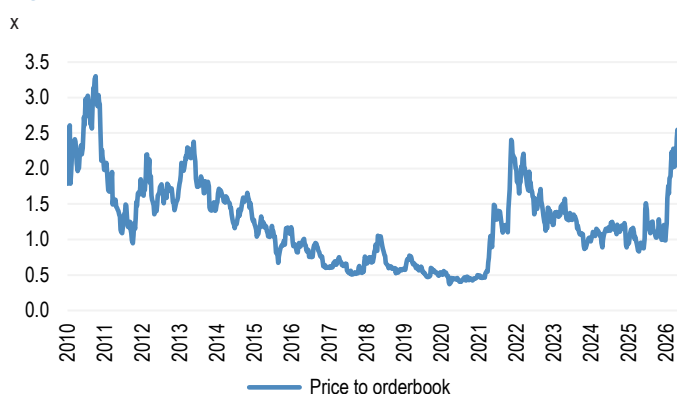
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 3: KEPCO E&C: Share price vs orderbook



Source: Bloomberg Finance L.P., J.P. Morgan estimates

Figure 4: KEPCO E&C: Price/orderbook trend



Source: Bloomberg Finance L.P., J.P. Morgan estimates

Investment Thesis, Valuation and Risks

KEPCO E&C (Overweight; Price Target: W180,000)

Investment Thesis

KEPCO E&C is a key player in the Korea-led nuclear projects, with large-ticket awards dependent on overseas project wins. Order intake was quiet in 2Q, limited to a small operating nuclear plant emergency maintenance contract (W33bn) from KHNP. We expect the pipeline to re-accelerate in 2027, driven by Vietnam, where the Korean government has been actively signing MOUs and additional nuclear projects are expected to follow Ninh Thuan 2. We reiterate our Overweight rating.

Valuation

Our Dec-27 PT of 180,000 is based on a 1.9x 2028E price/orderbook multiple, as we continue to view the orderbook as a key indicator of the sector cycle.

KEPCO E&C: Price target derivation

Wbn, Won

	Value	Note
2028E orderbook	3,629	
Target Price/Orderbook	1.9x	Upcycle multiple
Target market cap	6,895	
Price target	180,000	

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Key downside risks to our rating and price target include: 1) potential delays in KEPCO's large-scale nuclear projects; 2) political tensions and resulting disputes between KEPCO and Westinghouse; and 3) adverse developments in the progress of iSMR.

KEPCO E&C: Summary of Financials

Income Statement	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Revenue	519	636	680	751	Cash flow from operating activities	29	106	79	92
COGS	(406)	(464)	(485)	(523)	o/w Depreciation & amortization	23	19	17	16
Gross profit	113	172	195	228	o/w Changes in working capital	30	21	(12)	(16)
SG&A	(55)	(64)	(68)	(75)	Cash flow from investing activities	(9)	(8)	(8)	(8)
Adj. EBITDA	58	98	110	131	o/w Capital expenditure	(5)	(5)	(5)	(5)
D&A	(23)	(19)	(17)	(16)	as % of sales	0.9%	0.8%	0.7%	0.7%
Adj. EBIT	35	79	93	115	Cash flow from financing activities	(39)	(51)	(46)	(61)
Net Interest	5	4	5	6	o/w Dividends paid	(38)	(51)	(46)	(61)
Adj. PBT	109	85	98	121	o/w Shares issued/(repurchased)	0	0	0	0
Tax	(24)	(20)	(23)	(29)	o/w Net debt issued/(repaid)	0	0	0	0
Minority Interest	0	0	0	0	Net change in cash	(19)	46	26	23
Adj. Net Income	85	66	74	92	Adj. Free cash flow to firm	25	98	71	84
Reported EPS	2,234	1,714	1,946	2,402	y/y Growth	(44.2%)	294.8%	(26.8%)	16.9%
Adj. EPS	2,234	1,714	1,946	2,402					
DPS	1,347	1,200	1,600	1,600					
Payout ratio	60.3%	70.0%	82.2%	66.6%					
Shares outstanding	38	38	38	38					
Balance Sheet	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	27	74	100	122	Gross margin	21.7%	27.0%	28.7%	30.3%
Accounts receivable	308	318	340	376	EBITDA margin	11.3%	15.5%	16.2%	17.5%
Inventories	0	0	0	0	EBIT margin	6.8%	12.4%	13.7%	15.3%
Other current assets	447	457	479	515	Net profit margin	16.5%	10.3%	10.9%	12.2%
Current assets	550	606	654	713	ROE	14.2%	10.4%	11.4%	13.4%
PP&E	227	215	206	197	ROA	9.3%	7.2%	7.8%	9.2%
LT investments	33	33	33	33	ROCE	4.6%	9.6%	10.8%	12.8%
Other non current assets	100	100	100	100	SG&A/Sales	10.6%	10.1%	10.0%	10.0%
Total assets	886	931	970	1,020	Net debt/Equity	NM	NM	NM	NM
Short term borrowings	0	0	0	0	Net debt/EBITDA	NM	NM	NM	NM
Payables	201	232	242	262	Sales/Assets (x)	0.6	0.7	0.7	0.8
Other short term liabilities	55	55	55	55	Assets/Equity (x)	1.5	1.4	1.5	1.5
Current liabilities	256	287	297	317	Interest cover (x)	NM	NM	NM	NM
Long-term debt	0	0	0	0	Operating leverage	561.7%	544.7%	257.4%	224.7%
Other long term liabilities	5	5	5	5	Tax rate	22.0%	23.3%	24.0%	24.0%
Total liabilities	261	291	302	321	Revenue y/y Growth	(8.9%)	22.5%	7.0%	10.5%
Shareholders' equity	625	639	668	699	EBITDA y/y Growth	(37.3%)	68.1%	11.9%	19.3%
Minority interests	0	0	0	0	EPS y/y Growth	45.9%	(23.2%)	13.5%	23.4%
Total liabilities & equity	886	931	970	1,020	Valuation	FY25A	FY26E	FY27E	FY28E
BVPS	16,428	16,803	17,559	18,371	P/E (x)	42.7	55.6	49.0	39.7
y/y Growth	8.2%	2.3%	4.5%	4.6%	P/BV (x)	5.8	5.7	5.4	5.2
Net debt/(cash)	(102)	(149)	(175)	(320)	EV/EBITDA (x)	60.6	35.6	31.6	25.4
					Dividend Yield	1.4%	1.3%	1.7%	1.7%

Source: Company reports and J.P. Morgan estimates.

Note: W in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Asia Pacific Equity Research
09 July 2026

J.P.Morgan

Overweight

000720.KS, 000720 KS

Price (08 Jul 26):W100,500

▼ **Price Target (Dec-27):W170,000**

Prior (Dec-27):W180,000

Korea Auto, EV battery, Nuclear and Utility

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (W)	4,807	4,619	-3.9%
Adj. EPS - 27E (W)	9,185	6,493	-29.3%

Quarterly Forecasts (FYE Dec)

Adj. EPS (W)	2025A	2026E	2027E
Q1	1,071	1,543A	1,427
Q2	840	953	1,374
Q3	388	989	2,119
Q4	1,020	1,134	1,573
FY	3,320	4,619	6,493

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	29	11	10	24	17
Growth	90	30	35	81	35
Momentum	9	41	9	56	70
Quality	70	77	83	58	62
Low Vol	78	37	12	52	53

Hyundai E&C

Strong orders outside nuclear; slower-than-expected but still gradual margin improvement

Hyundai E&C (HDEC) secured W10tn in orders in 2Q, headlined by the Apgujeong 3rd District reconstruction project (~W5.6tn), but nuclear orders remained absent. We have pushed Bulgaria's Kozloduy project into 2027 as progress has been slower than expected, though the award remains a matter of timing given Westinghouse has already been selected and HDEC has been confirmed as the construction partner. Additionally, we had expected ~W4tn in Holtec orders within 2026, but with the year already entering 2H, we now assume split awards of ~W2tn each in 2026E and 2027E. These adjustments lower our 2026-28E orderbook estimates by 12-21%, and an OP est. cut by 1-29% due to slower profit contribution from high-margin nuclear projects. Accordingly, we trim our PT to W170,000, based on the same 1.8x 2028E P/B.

Table 11: HDEC: 2Q26 preview

Wbn, %

	2Q26			2Q25	% y/y	1Q26	% q/q
	JPM	BBG	Diff.				
Revenue	6,887	6,787	1%	7,721	-11%	6,281	10%
OP	207	201	3%	217	-5%	181	14%
OP margin	3.0%	3.0%		2.8%		2.9%	
NP	157	114	37%	159	-1%	207	-24%
NP margin	2.3%	1.7%		2.1%		3.3%	

Source: Company data, Bloomberg Finance L.P.

Table 12: HDEC: Price target

x, %, W/share

	Value	Note
Target P/B multiple (A)	1.8x	Valuation multiple referenced by 2010-12
2028E BVPS (B)	95,406	
Price target (A)x(B)	170,000	

Source: Bloomberg Finance L.P., J.P. Morgan estimates

Table 13: HDEC: Estimate revisions

Wbn, %

	2026E			2027E			2028E		
	Old	New	% chg	Old	New	% chg	Old	New	% chg
Sales	27,546	27,492	0%	31,734	28,484	-10%	35,616	31,029	-13%
% y/y	-11%	-11%		15%	4%		12%	9%	
OP	822	817	-1%	1,496	1,137	-24%	1,995	1,426	-29%
OP margin	3.0%	3.0%		4.7%	4.0%		5.6%	4.6%	
NP	724	703	-3%	1,232	930	-25%	1,632	1,180	-28%
NP margin	2.6%	2.6%		3.9%	3.3%		4.6%	3.8%	
NP to parent	540	519	-4%	1,032	730	-29%	1,432	980	-32%

Source: J.P. Morgan estimates.

Price Performance



Company Data

Shares O/S (mn)	112
52-week range (W)	198,400-54,100
Market cap (\$ mn)	7,457
Exchange rate	1,514.90
Free float (%)	55.0%
3M ADV (mn)	1.99
3M ADV (\$ mn)	205.3
Volatility (90 Day)	94
Index	KOSPI
BBG ANR (Buy Hold Sell)	25 1 0

Key Metrics (FYE Dec)

W in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	31,063	27,492	28,484	31,029
Adj. EBITDA	854	1,056	1,433	1,693
Adj. EBIT	653	817	1,137	1,426
Adj. net income	373	519	730	980
Adj. EPS	3,320	4,619	6,493	8,720
BBG EPS	3,134	4,827	6,719	8,505
Cashflow from operations	(748)	2,708	1,128	1,251
FCFF	(855)	2,498	918	1,041
Margins and Growth				
Revenue Growth Y/Y (%)	(4.9%)	(11.5%)	3.6%	8.9%
EBITDA margin	2.7%	3.8%	5.0%	5.5%
EBITDA Growth Y/Y (%)	(182.0%)	23.7%	35.6%	18.2%
EBIT margin	2.1%	3.0%	4.0%	4.6%
Net margin	1.2%	1.9%	2.6%	3.2%
Adj. EPS growth	(321.2%)	39.2%	40.6%	34.3%
Ratios				
Adj. tax rate	13.6%	24.8%	25.0%	25.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	5.2%	5.2%	6.8%	8.0%
ROE	4.6%	5.9%	7.5%	9.5%
Valuation				
FCFF yield	(7.6%)	22.1%	8.1%	9.2%
Dividend yield	0.8%	1.0%	2.2%	3.0%
EV/Revenue	0.2	0.3	0.3	0.2
EV/EBITDA	7.0	8.2	5.5	4.2
Adj. P/E	30.3	21.8	15.5	11.5

Summary Investment Thesis and Valuation

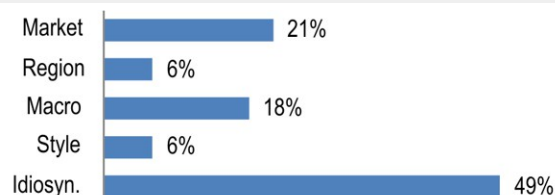
Investment Thesis

Hyundai E&C (HDEC) delivered solid non-nuclear orders in 2Q, securing W10tn headlined by the Apgujeong 3rd District reconstruction project (~W5.6tn). On the nuclear side, we continue to see meaningful upside from Westinghouse-led projects, with Bulgaria's Kozloduy award remaining a matter of timing given HDEC has been confirmed as the construction partner. For the US, we defer Fermi to 2029 due to remaining uncertainties, and now assume Holtec orders of ~W2tn each in 2026E and 2027E rather than ~W4tn in a single year. We maintain our Overweight rating.

Valuation

Our Dec-27 PT of W170,000 is based on a 1.8x 2028E P/BV multiple, benchmarked to the 2010–2012 period when the company delivered a ~15% ROE.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.54	0.47
Region: Korea	0.01	0.29
Macro:		
Generic 1st 'CO' Future	0.41	0.42
HSI Volatility Index	-0.29	-0.26
JPM China A-shares Sentiment	-0.23	-0.25
Quant Styles:		
Momentum	0.17	0.14
Size	-0.36	-0.09
DivYld	-0.13	-0.07

Table 14: HDEC: Summary of key financials

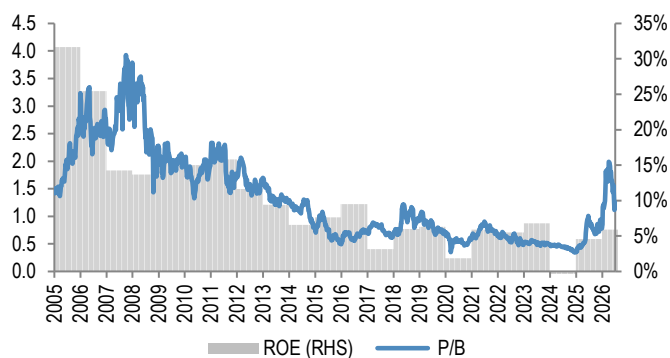
Wbn

	2023	2024	2025	2026E	2027E	2028E	2029E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Order backlog	89,407	95,730	94,412	97,533	107,729	103,394	113,004								
New order intake	31,060	38,993	29,745	30,000	38,000	26,000	39,000								
Financials															
Sales revenue	29,651	32,670	31,063	27,546	28,484	31,029	30,098	7,456	7,721	7,826	8,060	6,281	6,887	6,887	7,437
%y/y	40%	10%	-5%	-11%	3%	9%	-3%	3%	4%	1%	3%	-22%	10%	0%	8%
Construction & Housing	19,700	21,999	17,026					4,257	4,363	4,280	4,127				
Infrastructure	2,740	2,780	2,746					611	606	731	798				
Power & Plant	6,569	6,830	9,928					2,288	2,425	2,518	2,697				
Others	1,336	1,493	1,627					345	388	393	501				
GP	1,703	-217	1,980	1,852	2,068	2,440	2,596	514	468	390	608	505	413	413	521
GP margin	6%	-1%	6%	7%	7%	8%	8%	7%	6%	5%	8%	8%	6%	6%	7%
OP	785	-1,263	653	817	1,137	1,426	1,581	214	217	104	119	181	207	207	223
OP margin	3%	-4%	2%	3%	4%	5%	5%	3%	3%	1%	1%	3%	3%	3%	3%
NP	654	-766	559	703	930	1,180	1,315	167	159	68	166	207	157	161	177
NP margin	2%	-2%	2%	3%	3%	4%	4%	2%	2%	1%	2%	3%	2%	2%	2%
NP to parent	536	-169	373	519	730	980	1,115	120	94	44	115	174	107	111	127

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 5: HDEC: P/B vs ROE multiple trend

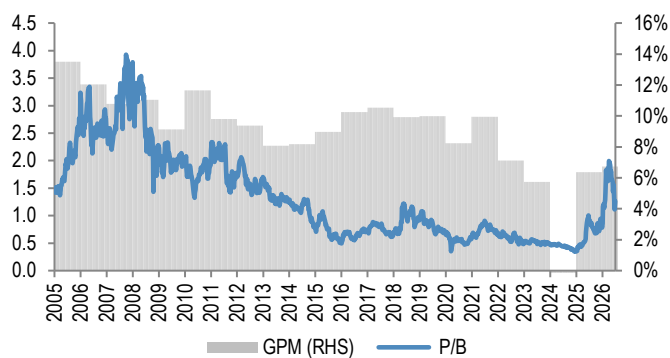
x, % (RHS)



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 6: HDEC: P/B vs GPM

x, % (RHS)



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Hyundai E&C (Overweight; Price Target: W170,000)

Investment Thesis

Hyundai E&C (HDEC) delivered solid non-nuclear orders in 2Q, securing W10tn headlined by the Apgujeong 3rd District reconstruction project (~W5.6tn). On the nuclear side, we continue to see meaningful upside from Westinghouse-led projects, with Bulgaria's Kozloduy award remaining a matter of timing given HDEC has been confirmed as the construction partner. For the US, we defer Fermi to 2029 due to remaining uncertainties, and now assume Holtec orders of ~W2tn each in 2026E and 2027E rather than ~W4tn in a single year. We maintain our Overweight rating.

Valuation

Our Dec-27 PT of W170,000 is based on a 1.8x 2028E P/BV multiple, benchmarked to the 2010-2012 period when the company delivered a ~15% ROE.

HDEC: Price target derivation

x, %, W/share

		Value	Note
Target P/B multiple	(A)	1.8x	Valuation multiple referenced by 2010-12
2028E BVPS	(B)	95,406	
Price target	(A)x(B)	170,000	

Source: J.P. Morgan estimates

Risks to Rating and Price Target

Key downside risks to our rating and price target include: 1) potential delays in anticipated large-scale nuclear projects; 2) negative developments in Holtec's business progress (e.g., approvals or technical issues); and 3) unforeseen impairment losses in overseas hydrocarbon projects.

Hyundai E&C: Summary of Financials

Income Statement	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY25A	FY26E	FY27E	FY28E
Revenue	31,063	27,492	28,484	31,029	Cash flow from operating activities	(748)	2,708	1,128	1,251
COGS	(29,083)	(25,640)	(26,416)	(28,588)	o/w Depreciation & amortization	201	239	296	268
Gross profit	1,980	1,852	2,068	2,440	o/w Changes in working capital	(295)	1,766	(98)	(197)
SG&A	(1,327)	(1,035)	(931)	(1,015)	Cash flow from investing activities	25	(210)	(210)	(210)
Adj. EBITDA	854	1,056	1,433	1,693	o/w Capital expenditure	(107)	(200)	(200)	(200)
D&A	(201)	(239)	(296)	(268)	as % of sales	0.3%	0.7%	0.7%	0.6%
Adj. EBIT	653	817	1,137	1,426	Cash flow from financing activities	405	(90)	(112)	(247)
Net Interest	78	23	103	148	o/w Dividends paid	(69)	(90)	(112)	(247)
Adj. PBT	647	935	1,240	1,574	o/w Shares issued/(repurchased)	0	0	0	0
Tax	(88)	(232)	(310)	(393)	o/w Net debt issued/(repaid)	620	0	0	0
Minority Interest	(186)	(183)	(200)	(200)	Net change in cash	(318)	2,408	806	794
Adj. Net Income	373	519	730	980	Adj. Free cash flow to firm	(855)	2,498	918	1,041
Reported EPS	3,320	4,619	6,493	8,720	y/y Growth	187.4%	(392.0%)	(63.2%)	13.4%
Adj. EPS	3,320	4,619	6,493	8,720					
DPS	800	1,000	2,200	3,000					
Payout ratio	24.1%	21.6%	33.9%	34.4%					
Shares outstanding	112	112	112	112					
Balance Sheet	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	4,813	7,220	8,026	8,820	Gross margin	6.4%	6.7%	7.3%	7.9%
Accounts receivable	13,206	9,164	9,495	10,343	EBITDA margin	2.7%	3.8%	5.0%	5.5%
Inventories	747	855	881	953	EBIT margin	2.1%	3.0%	4.0%	4.6%
Other current assets	16,151	12,216	12,573	13,493	Net profit margin	1.2%	1.9%	2.6%	3.2%
Current assets	21,958	20,431	21,593	23,308	ROE	4.6%	5.9%	7.5%	9.5%
PP&E	1,225	1,568	1,483	1,426	ROA	1.4%	1.9%	2.7%	3.4%
LT investments	1,284	1,823	1,823	1,823	ROCE	5.2%	5.2%	6.8%	8.0%
Other non current assets	3,844	4,233	4,233	4,233	SG&A/Sales	4.3%	3.8%	3.3%	3.3%
Total assets	27,792	26,996	28,072	29,729	Net debt/Equity	NM	NM	NM	NM
					Net debt/EBITDA	NM	NM	NM	NM
Short term borrowings	2,209	2,209	2,209	2,209	Sales/Assets (x)	1.1	1.0	1.0	1.1
Payables	10,716	8,547	8,805	9,529	Assets/Equity (x)	3.4	3.1	2.8	2.8
Other short term liabilities	1,919	1,919	1,919	1,919	Interest cover (x)	NM	NM	NM	NM
Current liabilities	14,843	12,674	12,933	13,657	Operating leverage	3083.1%	(218.7%)	1082.3%	284.9%
Long-term debt	1,727	1,727	1,727	1,727	Tax rate	13.6%	24.8%	25.0%	25.0%
Other long term liabilities	2,836	2,916	2,916	2,916	Revenue y/y Growth	(4.9%)	(11.5%)	3.6%	8.9%
Total liabilities	17,679	15,590	15,849	16,573	EBITDA y/y Growth	(182.0%)	23.7%	35.6%	18.2%
Shareholders' equity	8,265	9,374	9,992	10,725	EPS y/y Growth	(321.2%)	39.2%	40.6%	34.3%
Minority interests	1,848	2,031	2,231	2,431	Valuation	FY25A	FY26E	FY27E	FY28E
Total liabilities & equity	27,792	26,996	28,072	29,729	P/E (x)	30.3	21.8	15.5	11.5
BVPS	73,523	83,393	88,886	95,406	P/BV (x)	1.4	1.2	1.1	1.1
y/y Growth	3.0%	13.4%	6.6%	7.3%	EV/EBITDA (x)	7.0	8.2	5.5	4.2
Net debt/(cash)	(1,871)	(4,279)	(5,085)	(5,879)	Dividend Yield	0.8%	1.0%	2.2%	3.0%

Source: Company reports and J.P. Morgan estimates.

Note: W in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Doosan Enerbility (034020.KS, 034020 KS) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 29, 2008. All share prices are as of market close on the previous business day.
Break in coverage Jul 25, 2017 - Sep 05, 2025.

KEPCO E&C (052690.KS, 052690 KS) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 05, 2025. All share prices are as of market close on the previous business day.

Date	Rating	Price (W)	Price Target (W)
05-Sep-25	OW	93400	130,000
29-Oct-25	OW	109900	150,000
13-Jan-26	OW	102400	130,000
26-Feb-26	OW	169500	190,000
06-Apr-26	OW	162800	210,000
13-May-26	OW	162000	260,000

Hyundai E&C (000720.KS, 000720 KS) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 22, 2006. All share prices are as of market close on the previous business day.
Break in coverage Apr 26, 2019 - Sep 05, 2025.

Date	Rating	Price (W)	Price Target (W)
05-Sep-25	OW	59900	84,000
14-Oct-25	OW	58200	78,000
29-Oct-25	OW	71200	94,000
04-Feb-26	OW	109100	130,000
26-Feb-26	OW	158000	170,000
28-Apr-26	OW	172400	180,000

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